

came from the government.

Says Kapur, "In picture tubes manufacturing, initially, we were four of us, but today only two companies are existing. Samtel and JCT are still around, while Hotline and BPL are closed. I wouldn't totally blame the government. Of course, there were wrong business decisions that each of us took. But as an industry, imports flourished despite all the attempts to control those. Illegal imports continued. Capital costs were so high. And for a company, going through a financial structuring was a big ordeal which took a long time."

"Of course, today, LCD TVs are being manufactured here. But they are doing only the assembly. Nobody is putting in money in the LCD. People claim to be doing it but what they do is to get the cell from abroad and just put the front and call it as an LCD made in India. And they take huge subsidies from the government on that account. But they will never ever make this thing here as the investment is over a billion dollars. Also, obsolescence is high," he adds.

For electromagnetism component manufacturers like GSP Electronics, lack of availability of raw materials in India is the biggest constraint. "We are manufacturing wire-wound components like magnetics, transformers, coils, EMI chokes, telecom transformers. But basic copper wire/bobbin manufacturers are not there. That's our main constraint. We have to import the copper wire (magnet wire that goes into the transformer) from Singapore, Korea or China. Then we assemble the product and sell it. One or two companies are making it in India but their focus is electrical products like motors," says GSP Electronics director Satish Gupta.

"For example, in ferrite cores, there are two-three companies but they aren't interested in producing ferrite cores for

Primary hurdles and some suggestions

Primary hurdles

- Lack of clear government policy on electronics manufacturing and incentive schemes. Malaysia, Korea and China are cases in reference
- Lack of any multinational large-scale electronics manufacturing organisation, except in telecommunication sector
- Lack of necessary natural raw material manufacturers
- Zero import duty on component import
- Cost of economics

What role can the government play

- Create large-scale electronic component manufacturing zones and declare tax holidays
- Create level-playing field in the import of raw materials, not components
- Through open FDI, attract multinational companies into emerging states to set up manufacturing plants for component like ICs
- Once manufacturing facilities are established, the import strategies can be re-looked at to protect and grow the local manufacturing activities
- Incentivise exports from these zones

—Himanshu Dalvi, Vice President, Electronics Division, Havells India

A phased indigenisation plan needs to be in position. The government needs to encourage 'complete' manufacturing, with ecosystems built around these plants—Pankaj Gulati, Executive Vice President and COO, Continental Device India Limited (CDIL)

TV applications like LCD TVs. If they produce, the price will be very high compared to China. For basic raw material manufacturing, you need a high investment and high quantity. So no company is coming forward," Gupta adds.

What the industry wants

Says K.U. Subbaiah, managing director, Tyco Electronics, India, "Now the Indian market volumes are becoming significant and hence local manufacturing makes sense. Local manufacturing will provide shorter lead times of supply to the customers and also pass on some price benefits because of reduced freight costs."

But for that to happen, there is a lot to be done. "The component manufacturing needs to be declared a strategic sector. We need to start with low-

volume, high-value-add, custom-built components. The government needs to encourage 'complete' manufacturing by MNCs. A phased indigenisation plan needs to be in position. The government needs to help build ecosystems around these plants," suggests Gulati.

"The public-private partnership has to be fortified. Also, components manufacturing should be treated like infrastructure. Another step required is university-industry interaction. Components manufacturing can be a sunshine industry for many years to come. It can provide employment to a lot of people, especially well-qualified engineers. We have dozens of engineering institutes coming up every year, but if you check the employability of those engineering graduates, it's pathetic. Each of them has to undergo some training or retraining. Instead of importing material, we should import technology and education skills from abroad," adds Kapur. ●

For basic raw material manufacturing, you need a high investment and high quantity. So no company has come forward—Satish Gupta, Director, GSP Electronics

The author is executive editor at EFY